

Profit Niti – AI Report (2025-01-01 / 2025-10-31)

Last Month KPI Data (October 2025)



Sales

0

0% Last month 0



Gross Margin

0

0% Last month 0



Operating Profit

0

0% Last month 0



Break Even Sales

0

0% Last month 0



Accounts Receivable

0

0% Last month 0



Accounts Payable

0

0% Last month 0



Working Capital

0

0% Last month 0



Closing Stock

0

0% Last month 0



BS Category

0 - SHAKY

0% Last month 0 - SHAKY



IMPACT OF MANAGEMENT

DECISIONS

0

0% Last month 0



1. Big Picture — How the Business Looks Right Now

The business is in a critical financial position, operating at a significant loss. For the YTD period ending April 2025, the company has incurred a net loss of over ₹602 crore against sales of ₹966 crore, indicating a severe profitability crisis. The balance sheet shows negative total equity of approximately ₹408 crore, meaning the company's debts far exceed its net assets. While there is some cash in the bank (₹217 crore), the business is heavily reliant on external borrowings and other liabilities to fund its operations.

GREEN FLAG BOX — What's Working Well

- **Strong Revenue Scale:** The business is generating substantial quarterly revenue, crossing ₹1,500 crore in March 2025, demonstrating significant market activity and sales volume.
- **Controlled Overheads:** Selling and administrative expenses are relatively low as a percentage of sales (around 1.8-2.2%), showing efficiency in managing fixed operational costs.
- **Access to Funding:** The company has successfully secured substantial long-term borrowings (over ₹368 crore) and manages a high level of other current liabilities, indicating an ability to arrange working capital to keep operations running.

RED FLAG BOX — What Needs Attention

- **Severe & Consistent Losses:** The company has a deeply negative Gross Margin (around -60%) and Net Profit Margin (around -62%), meaning it is selling products/services for far less than their direct cost, a fundamentally unsustainable model.
- **Negative Net Worth (Negative Equity):** The total equity is negative ₹408 crore. This erodes lender and investor confidence and poses a serious risk to the company's going concern status if not corrected urgently.
- **Cash Flow Strain:** Operating cash flow is deeply negative (₹-113 crore in April), and the business is consistently burning cash from core operations, relying on financing activities to survive.

Strategic Advice:

Immediate survival depends on fixing the core unit economics. You must conduct a thorough product/service-wise profitability analysis to identify and either reprice or discontinue loss-making lines. Simultaneously, engage with lenders to restructure debt and explore emergency equity infusion to address the negative net worth and ensure business continuity.